

Oxford Cambridge and RSA – Practice Paper**GCE Economics****H060/01 Microeconomics – AS Level****Practice Paper 2 (Advanced) – Mark Scheme**

This mark scheme follows the structure and marking principles of OCR H060/01 June 2024.

MARKING INSTRUCTIONS (summary)

1. Mark strictly to the mark scheme. Award marks that fairly reflect knowledge and skills demonstrated.
2. Use the level-of-response grids for parts (e)* and Section C. Start at the highest level and work down.
3. For Section C, if a candidate writes two answers, mark both and award the highest mark.
4. Award No Response (NR) if nothing is written; award zero if there is text but it is not worthy of credit.
5. Use the standard annotations: ✓ correct, KU, APP, AN, EVAL, BOD, TV, NAQ.

SECTION A – Multiple Choice

Question	Answer	AO	Rationale
1	B	AO1	A Air pollution from a factory chimney is a <i>production</i> externality. B Correct: passive smoking is a negative consumption externality – the consumer's action causes harm to third parties. C Increased pollination is a positive externality. D Vaccination produces a positive consumption externality.
2	B	AO2	A Higher unemployment would not shift the PPF outward (resources unused). B Correct: more resources (oil) and improved productivity (technology) raise potential output, shifting the PPF outwards. C Movement to the curve is allocative improvement, not growth. D Reallocation is movement along the curve.
3	D	AO2	A Positive statement (predictive but testable). B Positive statement (fact). C Positive statement (cause-effect). D Correct: 'ought to' indicates a value judgement → normative.
4	D	AO1	A Bread and butter are in complementary demand. B Cars and petrol are complements. C Coffee and tea are substitutes. D Correct: beef and leather are produced together from the same cow → joint supply.
5	D	AO3 (QS)	A Both falling – Q falls, P could go either way. B Both rising – Q rises, P could go either way. C If demand rises by less than supply falls, P would rise sharply and Q would fall. D Correct: when demand rises by the same proportion as supply falls, P rises but Q remains unchanged.
6	C	AO1	A Specialisation reduces self-sufficiency. B Specialisation typically increases competition. C Correct: comparative advantage allows higher total output and consumption. D Specialisation increases interdependence.
7	B	AO2 (QS)	$\% \Delta P = (3.00 - 2.50)/2.50 = +20\%$; $\% \Delta Q = (750 - 1000)/1000 = -25\%$. $PED = -25/20 = -1.25$ (price elastic). Original revenue = $£2.50 \times 1000 = £2,500$; new revenue = $£3.00 \times 750 = £2,250$ → revenue falls. B Correct: $PED = -1.25$ and revenue falls (rule: if $ PED > 1$, raising price reduces revenue).
8	D	AO2	A YED for luxuries is positive and > 1 . B Normal goods have positive YED. C Normal goods have positive YED (here YED is negative). D Correct: negative YED indicates an inferior good.
9	B	AO1	A Free provision by a charity does not make a good a public good. B Correct: non-excludability and non-rivalry are the defining features. C Government provision is not a defining characteristic – private firms can supply public goods. D Public goods can produce externalities (e.g. street lighting).
10	A	AO2	A Correct: tax incidence falls more on the inelastic side. As $PED < PES$, consumers bear the larger burden. B Reversed. C Burden is shared only when $PED \approx PES$. D Government receives revenue; it doesn't bear the burden.
11	C	AO2	A Producers receive a higher minimum price, not lower revenue. B Excess demand arises with a maximum price below equilibrium. C Correct: at a price above equilibrium, supply exceeds demand → surplus. D Consumers face higher, not lower, prices.
12	D	AO3	A Free-market output is allocatively inefficient ($P \neq MSC$). B For negative externalities, social optimum output is lower , not higher. C Welfare loss is the triangle between MSC and MSB, not the entire MPC-MSB gap. D Correct: over-production above the social optimum creates a welfare loss triangle.
13	B	AO2 (QS)	$\% \Delta Q = (4.4 - 4)/4 \times 100 = +10\%$; $\% \Delta P = (3250 - 2500)/2500 \times 100 = +30\%$. $PES = 10/30 = 0.33$ (inelastic supply). B Correct: $PES \approx 0.33$.

Question	Answer	AO	Rationale
14	B	AO1	A Medium of exchange is a function. B Correct: while money is used to save and lend, 'source of finance for investment' is not one of the four standard functions of money. C Store of value is a function. D Unit of account is a function.
15	B	AO1	A Pure planned economy. B Correct: a mixed economy combines markets with government intervention. C Pure market economy. D Households are participants, not sole allocators.

SECTION B – Question 16

Question	Answer	Mark	Guidance
16 (a)	Using Fig. 1, state what percentage of UK consumers gave 'ethical sourcing' as the main reason for choosing their coffee shop. 18% (1)	1	Accept 18 without % sign. Annotate with ✓. Quantitative skills rewarded.
16 (b) (i)	Using Fig. 2, calculate the % increase in the world price of arabica coffee beans between 2018 and 2024. $(4.20 - 1.20) / 1.20 (1) \times 100 = \mathbf{250\% (2)}$ Correct method (1)	2	Accept 250% or 250 alone for 2 marks. Correct method without $\times 100 = 1$ mark. Accept values within $\pm 5\%$ range. QS rewarded.
16 (b) (ii)	Using $PED = -0.3$, explain how the 2024 price rise will affect total consumer expenditure on coffee. PED is inelastic ($ PED < 1$) (1). A rise in price reduces quantity demanded proportionally less, so total expenditure on coffee will rise (1). OR: A 10% price rise leads to a 3% fall in quantity demanded, so spending increases (2).	2	Accept reference to coffee being a necessity / having few substitutes / habit-forming. Annotate with ✓.
16 (c)	Using a demand and supply diagram, explain how the droughts in Brazil have affected the world market for coffee. Up to 3 marks for diagram: • Accurate labelling of axes (1) • Accurate labelling of curves with correct leftward shift of supply $S \rightarrow S_1$ (1) • Accurate labels of old and new equilibrium (P, Q) and (P_1, Q_1) (1) Up to 2 explanation marks: • Droughts destroy coffee crops, reducing supply and shifting S left (1) • Equilibrium price rises ($P \rightarrow P_1$) and quantity falls ($Q \rightarrow Q_1$) (1) • Reference to 11% fall in Brazilian supply / inelastic demand reinforcing price rise (1) <i>Maximum 4 marks overall.</i>	4	Annotate with ✓. Diagram must show inward shift of supply with movement up demand curve.

Question	Answer	Mark	Guidance
16 (d) (i)	Using XED between coffee and tea = +0.4, explain the relationship between these two goods. XED is positive → coffee and tea are substitutes / in competitive demand (1). Value of 0.4 (less than 1) indicates the relationship is weak – a 10% rise in the price of tea would lead to only a 4% rise in demand for coffee (1).	2	Accept: 'a rise in price of coffee leads to a rise in demand for tea, but proportionally less' (1).
16 (d) (ii)	Explain how the negative externalities associated with coffee production result in market failure. • Coffee production generates external costs (deforestation, soil erosion, water pollution) not paid by producers or consumers (1) • Marginal social cost (MSC) is therefore greater than marginal private cost (MPC) (1) • Free-market output (where $MPC = D$) exceeds the social optimum (where $MSC = D$) → over-production (1) • This results in a welfare loss / misallocation of resources / allocative inefficiency (1) <i>Alternatively, up to 3 marks for correctly labelled MSC/MPC/D diagram showing welfare loss triangle.</i>	4	Candidate must link the externality to over-production for 4 marks. Annotate with ✓.

16 (e)* – Levels of response (10 marks)

Level / mark	Descriptor
Level 3 (7–10 marks)	Reasonable application; strong analysis with well-developed chains of reasoning; accurate and integrated diagram(s); strong evaluation with logical, well-supported judgement.
Level 2 (4–6 marks)	Reasonable application; reasonable analysis with single links; diagram errors affecting validity; reasonable evaluation ; unsupported judgement.
Level 1 (1–3 marks)	Limited application; limited analysis lacking structure; diagrams absent or with significant errors; limited evaluation ; stated or absent judgement.
0 marks	Response is not worthy of credit.

16 (e)*: Evaluate, using an appropriate diagram(s), the effects on coffee farmers of the rise in the world price of coffee.

The side of the argument presented first should be credited as Analysis with the other side credited as Evaluation.

Application

- World price rose to \$4.20/lb in 2024 (a ~250% rise since 2018)
- 11% fall in Brazilian supply (key supply-side shock)
- PED for coffee = -0.3 (inelastic), so higher prices generate higher revenue
- Small-scale farmers in five major producing countries

Analysis – Positive effects on coffee farmers

- Diagram: leftward shift of supply ($S \rightarrow S_1$) raises P and reduces Q ; movement up an inelastic demand curve means total revenue rises
- Higher prices increase producer surplus for those whose crops were not damaged
- Higher revenue may encourage investment in better farming techniques or new land
- Other countries (Vietnam, Colombia) may benefit by selling at higher world prices

Evaluation – Effects may be limited / negative

- Farmers whose crops were destroyed by drought have nothing to sell at the higher price $\rightarrow$ income falls
- Supply is inelastic in the short run (coffee bushes take 3–4 years to mature) – farmers cannot quickly expand production to take advantage
- Small-scale farmers sell to large multinational buyers and may not capture the price rise – middlemen and processors gain more
- Higher prices may attract substitution towards tea or other beverages (XED positive), reducing long-run demand
- Volatile commodity prices make planning and investment difficult – higher prices today may not last
- Negative externalities (deforestation) may worsen if farmers expand acreage in response to high prices

Possible judgement(s)

- Effects depend on whether the farmer was directly affected by drought
- Short-run windfall gains may not be sustained as supply recovers (cobweb-style dynamics)
- Distribution of gains depends on market power in the supply chain – small farmers often receive only a small share
- Long-run effects depend on whether farmers diversify into other crops or invest in productivity improvements

SECTION C – Levels of response (20 marks)

Level / mark	Descriptor
Level 4 (16–20)	Good KU; strong application; strong analysis with well-developed chains and accurate integrated diagram(s); strong evaluation with logical and well-supported judgement.
Level 3 (11–15)	Good KU; good application; good analysis beyond single links; diagrams predominantly correct; good evaluation; unsupported judgement.
Level 2 (6–10)	Reasonable KU; reasonable application; reasonable analysis with single links; diagram errors affecting validity; reasonable evaluation; unsupported judgement.
Level 1 (1–5)	Limited KU; limited application; limited analysis lacking structure; diagrams absent or with significant errors; limited evaluation; stated or absent judgement.
0 marks	Response is not worthy of credit.

17*: Evaluate, using an appropriate diagram(s), the effectiveness of indirect taxes in correcting market failure.

The side of the argument presented first should be credited as Analysis with the other side credited as Evaluation.

Knowledge and Understanding

- Negative externalities and the divergence between private and social cost
- Indirect taxes – specific (per unit) and ad valorem (% of price)
- Social optimum output ($MSC = MSB$) and welfare loss
- Tax incidence and PED/PES

Application

- Sugar tax (UK Soft Drinks Industry Levy), fuel duty, tobacco duty, alcohol duty
- Coffee production externalities (deforestation, pesticide use)
- Carbon taxes

Analysis

- Diagram: tax shifts supply curve left by the amount of tax, raising price and reducing quantity
- If correctly set (tax = marginal external cost), output falls to the social optimum
- Internalises the externality – polluters pay for the harm they cause
- Reduces welfare loss triangle
- Raises government revenue which can be hypothecated to fund mitigation
- Provides ongoing incentive to find cleaner methods of production

Evaluation

- Difficult to value the external cost accurately → tax may be set too high or too low (government failure)
- If PED is inelastic (e.g. tobacco, petrol), tax has limited effect on quantity but raises revenue
- Regressive – low-income households spend a larger share of income on taxed goods
- May encourage tax avoidance, smuggling or production shifting abroad
- Firms may pass the tax on to consumers, reducing producer incentives to change behaviour
- Alternative policies: regulation, tradable permits, subsidies for substitutes, information campaigns

Possible judgement(s)

- Effectiveness depends on PED of the good and accuracy of valuation of externalities
- Most effective when combined with complementary policies (e.g. information provision plus tax)
- Significant short-run problems with regressivity, but long-run gains in welfare may justify them
- Politically difficult to set taxes at the level theory recommends

18*: Evaluate, using an appropriate diagram(s), the effectiveness of buffer-stock schemes in stabilising the incomes of farmers producing primary commodities such as coffee.

The side of the argument presented first should be credited as Analysis with the other side credited as Evaluation.

Knowledge and Understanding

- Buffer-stock schemes – minimum and maximum price corridors
- Price volatility in primary commodity markets
- Inelastic supply and demand for agricultural goods
- Government failure and opportunity cost

Application

- Coffee, cocoa, rubber and other agricultural commodities
- Common Agricultural Policy (CAP) and similar schemes
- Recent coffee price spikes due to drought in Brazil (250% rise 2018–24)
- Small-scale producers in developing countries

Analysis

- Diagram: buffer stock places a price floor and ceiling; authority buys to maintain floor and sells to maintain ceiling
- In a good harvest (S shifts right), the authority buys surplus at the floor price, keeping prices stable
- In a bad harvest (S shifts left), the authority sells stocks to prevent prices spiking
- Stabilises farmer revenue and consumer prices
- Encourages long-term investment by farmers due to predictable income
- Avoids the cobweb-cycle problem in inelastic-supply markets

Evaluation

- Storage is expensive, particularly for perishable goods
- Authorities need accurate information about long-run equilibrium price – difficult to set correctly
- Persistent surpluses or shortages indicate the price band is mis-set → government failure
- Subsidising production can lead to over-supply and environmental damage
- International cooperation is needed but difficult; many historic schemes (e.g. International Coffee Agreement) collapsed
- Alternative policies: futures markets, crop insurance, direct income support to farmers

Possible judgement(s)

- Effectiveness depends on accurate setting of price bands and adequate funding
- Buffer stocks can stabilise incomes in the short run but may not address structural over-supply
- Most effective when used alongside policies improving productivity and diversification
- Distribution of benefits depends on whether all farmers can sell to the buffer-stock authority
- In an integrated global market, one country acting alone is unlikely to be effective

ASSESSMENT OBJECTIVES GRID

Question	AO1	AO2	AO3	AO4	TOTAL	(QS)
1–15	7	6	2		15	(5)
16(a)	1(1)				1	(1)
16(b)(i)	1(1)	1(1)			2	(2)
16(b)(ii)	1	1			2	
16(c)	2	2(2)			4	(2)
16(d)(i)	1	1			2	
16(d)(ii)	2	2			4	
16(e)*		1	4	5	10	
17*/18*	3	4(2)	6(3)	7(3)	20	(8)
TOTAL	18	18	12	12	60	18